

Research Briefing | Spain

Socialists win easy but forming a government will be hard

Economist

Ángel Talavera

Lead Eurozone Economist

+44(0) 20 3910 8014

Socialists win general election for the first time since 2008

This result should see a muted market reaction

Chart 1

- The Socialist Party won the Spanish general election by a wide margin but will need support from a collection of smaller parties in order to form a government. Far-right Vox party entered the Spanish parliament but came in weaker than expected and will have little to no influence on policymaking for now.
- We expect a prolonged standstill, at least until the May regional and European elections. But we continue to think that political instability will have only a modest effect on the performance of the Spanish economy.

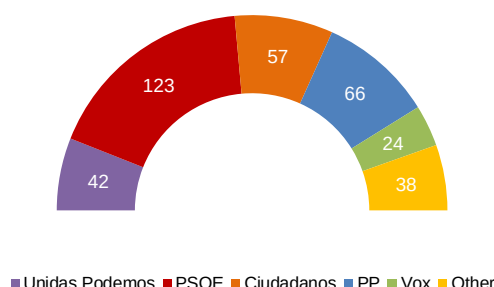
As expected, the Socialist Party (PSOE) won the Spanish national election held yesterday. This time, polls were generally quite accurate in predicting the final outcome, with the biggest surprises being the collapse of the Popular Party and a rise of the far-right that was a lot weaker than feared. Spanish politics remain relatively insulated from the populist virus seen in many other countries for now.

Given that centre-right Ciudadanos has explicitly vetoed a coalition with PSOE, the only way forward will be an alliance between the Socialists and far-left Podemos. The results allow the PSOE to form a government without the need for support from the two Catalan pro-independence parties – a scenario that would have been nearly impossible given the current political climate – but it will still need support from a collection of smaller regional parties. This will be difficult, but doable.

However, with European and regional elections coming up at the end of May, we expect a prolonged standstill, with parties remaining in campaign mode over the next month. Market reaction has been muted. Spain's IBEX 35 is down 0.6% at the time of writing, but Spanish equities have fallen in the day after every election since 1993, so we would not read much into it. Bond markets – a more accurate barometer of political risk – remain extremely calm, with 10-year bond yields falling briefly below 1% earlier this morning.

Spanish parliament (176 seat majority)

Parties ordered from political left to right



Following the results of yesterday's election, a coalition of PSOE and Podemos plus the support of some of the smaller regional parties is the only way forward to form a government. Failure to do so would mean new elections, likely during the autumn.

Source: Oxford Economics/Interior Ministry

Contact: Ángel Talavera | atalavera@oxfordeconomics.com